Investigation: DOMMO EMPREENDIMENTOS IMOBILIÁRIOS S.A (CVM code 19070), fiscal year 2012, as it was on 2013-04-30

Statistical signal based on public financial statements. Not an accusation, not investment advice.

Company

Sector: Emp. Adm. Part. - Const. Civil, Mat. Const. e Decoração (origin: FCA); group: non-financial.
Before 2012, the company was called DOMMO EMPREENDIMENTOS IMOBILIÁRIOS S.A.
Before 2011, the company was called CALAIS PARTICIPAÇÕES SA.
nenhum código de negociação no FCA entregue até a data (nos dados abertos, o campo só vem preenchido a partir do FCA de 2018)

Document used

2012 DFP, version 2, filed on 2013-02-22; origin: open data; type: individual; original scale: UNIDADE.
Versions known on the date: 1 (2013-02-21); 2 (2013-02-22).
Document at the CVM: http://www.rad.cvm.gov.br/ENETCONSULTA/frmDownloadDocumento.aspx?CodigoInstituicao=1&NumeroSequencialDocumento=24409

Possible manipulation (engine v1, study 1)

Financial risk (context only)

Altman Z" (financial risk, context only)
  Value: −951.948 (index)
  Components: X1 = −0.828; X2 = −205.481; X3 = −41.057; X4 = −0.712 (indices)
  Percentile in sector and year: 12 (n = 12)
  The company's own history: fewer than 5 previous fiscal years with a value
  - No cut-off zone: the available source does not define zones for Z"
  - Coefficients estimated outside Brazil; bankruptcy models lose validity over time (Pereira and Martins 2015, p. 25)

Financial quality (context only)

Piotroski F (financial quality, context only)
  Value: F = 2/9 (7 computable)
  Signals:
    - Return on assets (ROA): 0
    - Operating cash flow on assets (CFO): 0
    - Change in ROA: 1
    - Cash above earnings (ACCRUAL): 0
    - Change in leverage: 0
    - Change in current ratio: 1
    - No equity issuance (EQ_OFFER): —
    - Change in gross margin: —
    - Change in asset turnover: 0
  - No equity issuance (EQ_OFFER), from the cash flow statement: 6.03 lines of the frozen "emissões" pattern (reconnaissance, part 4.2), only those about shares or capital, as the article defines it ("did not issue common equity", p. 9); adaptation: preferred shares also count, because in Brazil they are equity, and the line is identified by text in the cash flow statement
  - No long-term debt in either year: the change in leverage is zero and the signal is 0 (project choice; the article only defines fell = 1, rose = 0, p. 8)

Changes

Restatement through the following year's comparative: no difference above the tolerance, or the next year's DFP did not exist yet on the date.

What was known on the date

- DFP 2010, v1: 2011-03-31
- FCA 2012, v1: 2012-03-19
- DFP 2011, v1: 2012-03-31
- FCA 2012, v2: 2012-05-09
- FCA 2012, v3: 2012-10-08
- DFP 2012, v1: 2013-02-21
- DFP 2012, v2: 2013-02-22

DFP and FCA filed with the CVM by the reference date; ITR comes in a later phase.
Material facts and market notices filed by the date (IPE open data, since 2010): 0 material fact documents and 6 market notice documents.
No material fact filed in the 24 months before the date (from 2011-05-01 to 2013-04-30).
Older material facts, the market notices and the link to each document are in the JSON and on screen.
Material facts and market notices filed with the CVM by the date, from the IPE open data (since 2010): filing date, category, subject (as filed, in Portuguese) and link. The content of the documents is not downloaded, read or summarized, and the list generates no alert, score or ranking. The counts are of documents: versions, resubmissions and English versions count separately; in the list, versions of the same document and documents with the same date, category and subject appear on a single line, with a link to each one.

Data quality

53 applicable checks; 0 failed.

Auditor's report and auditor (factual section; no alert)

Auditor's report: Sem Ressalva (unqualified).
no opinion excerpt was found in the text
Auditor in the 2010 FCA: Deloitte Touche Tohmatsu Auditores Independentes.
Auditor in the 2011 FCA: Deloitte Touche Tohmatsu Auditores Independentes.
Auditor in the 2012 FCA: KPMG Auditores Independentes.
Auditor changes (one line per change, canonical name by the firm's CVM code):
- 2012: Deloitte Touche Tohmatsu Auditores Independentes -> KPMG Auditores Independentes. The outgoing firm audited 3 consecutive fiscal years (2009 to 2011), by the start and end dates in the FCA.

Auditor rotation: under CVM Resolution No. 23/2021, art. 31, the same independent auditor may not serve the same client for more than five consecutive fiscal years, with a minimum interval of three fiscal years before being hired again; under art. 31-A, the term is up to ten consecutive fiscal years when the company has a statutory audit committee in permanent operation and the auditor is a firm. The Resolution has been in force since 2021-04-01 (art. 41); before that, the equivalent rule was in arts. 31 and 31-A of CVM Instruction No. 308/1999, revoked by the Resolution (art. 40, I). A change of auditor is a fact, not an alert.

Document excerpts (copied; no alert)

Excerpts copied from the documents, with the page, and the Reference Form table. It is not a signal family: it generates no alert, score or ranking. Absence of mention does not prove absence.
How the reader was tested: 22 held-out cases, a single measurement with the frozen reader (dd688da): precision 0.973, coverage 0.915, literal check on 146 of 146 excerpts, no natural-person name (docs/leitor_medida_f1_2.json).

Explanatory notes · Related parties
Note: 11. TRANSAÇÕES COM PARTES RELACIONADAS (pages 9 to 9)
- [other related parties] “Juros sobre empréstimos a pagar a empresas ligadas (676.273)

(565.060)” (p. 9, original excerpt in Portuguese)
- [parent company] “Os empréstimos com a controladora não possuem mercado nos quais sejam negociados títulos de mesma natureza ou assemelhados, ou seja, esses contratos não possuem um referencial de mercado, transações comparáveis ou modelos de precificação que possam diferir da atualização dos valores com base no índice contratual. Sendo assim, o valor contratual equivale ao seu valor justo.” (p. 9, original excerpt in Portuguese)
- [parent company] “O mútuo com a controladora foi substancialmente liquidado em setembro de 2012, conforme divulgado na Nota 12 (a).” (p. 9, original excerpt in Portuguese)
- [key management personnel] “Remuneração do pessoal-chave da Administração” (p. 9, original excerpt in Portuguese)
- [key management personnel] “As remunerações dos administradores, responsáveis pelo planejamento, direção e controle das atividades da Companhia, que incluem os membros do Conselho de Administração e diretores estatutários, estão apresentadas a seguir:” (p. 9, original excerpt in Portuguese)

Fields of item 18 of CPC 05 (R1)
- [balances] “Débitos com partes relacionadas 100.236 6.944.528” (p. 9, original excerpt in Portuguese)
- [balances] “TMAR 100.236 6.944.528” (p. 9, original excerpt in Portuguese)
- [amount of the transactions] “Despesas financeiras” (p. 9, original excerpt in Portuguese)
- [balances; terms and conditions; amount of the transactions] “Juros sobre empréstimos a pagar a empresas ligadas (676.273) (565.060)” (p. 9, original excerpt in Portuguese)
- [amount of the transactions] “TMAR (676.273) (565.060)” (p. 9, original excerpt in Portuguese)
- [terms and conditions] “As linhas de crédito contratadas têm por finalidade fornecer capital de giro para as atividades operacionais, onde o prazo de vencimento pode ser repactuado com base nos fluxos de caixa” (p. 9, original excerpt in Portuguese)
- [terms and conditions] “projetados dessas empresas, à taxa correspondente a 115% do CDI (2011 – 115% do CDI).” (p. 9, original excerpt in Portuguese)

Explanatory notes · Reverse factoring and forfaiting
The reader found no mention of reverse factoring (risco sacado), forfaiting or supplier agreements in the notes of this DFP. Absence of mention does not prove absence of the operation.

Auditor's report
Type of opinion: unqualified
- [emphasis of matter] “Ênfase A Companhia apresentava, em 31 de dezembro de 2012, capital circulante líquido negativo de R$ 51 mil (R$ 1.959 mil em 31 de dezembro de 2011) e passivo a descoberto de R$ 151 mil (R$ 8.904 mil em 31 de dezembro de 2011). Conforme divulgado na Nota Explicativa no. 1, a Administração está elaborando estudos e mantém discussão com os seus acionistas para início de suas operações. Dessa forma, para liquidação de suas obrigações será necessário a obtenção de recursos de seu acionista controlador Telemar Norte Leste S.A. A falta dos referidos recursos levantaria dúvidas significativas quanto a capacidade da Companhia iniciar as suas operações. Nossa conclusão não está ressalvada em função deste assunto.” (original excerpt in Portuguese)
- Excerpt omitted; see the auditor's report in the document

Reference Form
The Reference Form for this fiscal year was not available on the date. It is the only version available in the open data; earlier versions are not there.

Limits of this section:
- In real documents, about 22% of the excerpts come out omitted by the name detector, including names of companies outside the registry.
- In tables, a header line (years, column titles) may still come out as an excerpt: in the reader's measurement, 1 of 19 header texts of the held-out cases came out as excerpts.

How the engine was tested

In study 1, engine v1 detected 7 of 13 detectable cases, with 108.3 false alarms per detected case over the whole period and an alert rate of 49.9% among evaluated non-financial company-years (docs/summary.md).

Limits

- No alert is not a clean bill of health. In Dechow, Sloan and Sweeney (1995), the most powerful accruals model rejected 'no manipulation' for only 28.1% of 32 companies sanctioned by the SEC (Table 7, p. 32).
- In study 1, 49.9% of evaluated non-financial company-years (48.3% including financial companies) were in alert, and the number of detections did not beat chance in a descriptive test done after the result: 7 detections in 13 detectable cases, against 7.37 expected by chance without assuming independent years (8.56 assuming independent years).
- Risk models use numbers that may be manipulated (Pereira and Martins 2015, p. 29). That is why the three families are not added up.

Limitations

- Context indicators (Altman Z'' and Piotroski F) were not validated in Brazil by this project and do not trigger alerts

Evidence in the JSON: 36 DFP lines, each with document, version, filing date, account and location.

Engine

motor v1 (estudo 1), branch estudo-1-final, commit 8c9a823; chiocca.v2 (produto, fases B a F1); leitor-f1-2 (commit dd688da). The generation date is in the demo manifest (demo/manifesto.json).

Today's information (outside the reference date)

Registry status: CANCELADA. Source: CVM registry of listed companies (cad_cia_aberta.csv), in the version downloaded for the project, not on the reference date.
Name in today's registry: DOMMO EMPREENDIMENTOS IMOBILIÁRIOS S.A.